MEMORANDUM OF AGREEMENT

ws This Memorandum of Agreement is dated 24 May ~~April~~ 2023 between:

(1) **CREST NICHOLSON OPERATIONS LIMITED** of Crest House, Pycroft Road, Chertsey, Surrey, KT16 9GN ("***Crest Nicholson***") and

(2) **MR PAUL ROBERT AND MRS JADE TAYLOR** of 25 Abbots Road, Bishops Waltham, SO32 1RE ("***together Mr and Mrs Taylor***")

1. **Background**

1.1 Mr and Mrs Taylor completed their purchase of 25 Abbots Road, Bishops Waltham, SO32 1RE ("***the Property***") from Crest Nicholson on 29 October 2021.

1.2 Various defects in the construction of the Property have been identified and have been the subject of discussion between Crest Nicholson and Mr and Mrs Taylor. They have subsequently been the subject of a claim to the NHBC under NHBC reference 22/05864 culminating in the NHBC's resolution report dated 10 February 2023 ("***the NHBC Resolution***").

1.3 Prior to the date of this Memorandum of Agreement Mr and Mrs Taylor have confirmed to the NHBC in writing (and have received the NHBC's acknowledgement) that they anticipate the parties agreeing (subject to contract) the terms upon which Crest Nicholson will buy back the Property in full and final settlement. A copy of that confirmation and acknowledgement has been provided to Crest Nicholson prior to the date hereof.

1.4 Mr and Mrs Taylor and Crest Nicholson have agreed (subject to contract) the basis upon which Crest Nicholson will purchase the unencumbered freehold interest in the Property with vacant possession and subject to the defects from Mr and Mrs Taylor. This Memorandum of Agreement sets out the financial terms upon which that purchase would take place.

1.5 This Memorandum of Agreement is not, and is not intended to be, a contract for the purchase of the Property.

2. **Financial Provisions**

2.1 The price that Crest Nicholson will pay to Mr and Mrs Taylor on completion for the unencumbered freehold interest in the Property with vacant possession and subject to the defects is £690,000.00 (SIX HUNDRED AND NINETY THOUSAND POUNDS) exclusive of SDLT and any costs or expenses ("***the Price***").

2.2 In addition to the Price, Crest Nicholson will on completion of the purchase of the Property reimburse Mr and Mrs Taylor for the following items of expenditure subject to the prior provision of the evidence of such expenditure in accordance with paragraph 3 below: -

2.2.1 The reasonable and proper legal fees that they incur with respect to the sale of the Property to Crest Nicholson.

2.2.2 The reasonable and proper legal fees they incur with respect to the purchase of a new home to which they and their family move.

2.2.3 The reasonable and proper removal costs that they incur in moving from the Property to a new home.

2.2.4 Reimbursement of the sum of £1,300.00 (ONE THOUSAND THREE HUNDRED POUNDS) incurred by them with respect to advice previously provided to them by surveying firm Trinity Rose.

2.2.5 Reimbursement of the reasonable and proper mortgage arrangement fee and standard valuation fee (if applicable) that they incur with respect to the taking out of a new mortgage for the Property they move into.

2.2.6 Reimbursement of the properly assessed Stamp Duty Land Tax that they incur on the residential purchase of the home that they move to, such reimbursement to be capped at £22,000.00 (TWENTY TWO THOUSAND POUNDS).

2.2.7 Reimbursement of any redemption penalty with respect to their existing mortgage over the Property from Kensington Mortgage Company that they reasonably and properly incur, such reimbursement to be capped at a maximum figure of £17,000.00 (SEVENTEEN THOUSAND POUNDS).

2.3 With respect to each of the above items other than SDLT Mr and Mrs Taylor shall take all steps reasonably open to them to minimise the costs and expenditure incurred for which they seek reimbursement from Crest Nicholson.

3. **Evidence Requirements in Respect to the Matters set out at Paragraph 2.2**

3.1 With respect to the items referred to at paragraphs 2.2.1-2.2.5 (inclusive) Crest Nicholson's reimbursement of the relevant costs or expenditure will be subject to (a) the prior production by Mr and Mrs Taylor of properly made out and itemised invoices or written estimates to Mr and Mrs Taylor from each relevant supplier or firm with respect to the costs or expenditure incurred or to be incurred and (b) Crest Nicholson's approval in writing to the same (such approval not to be unreasonably withheld or delayed).

3.2 With respect to item 2.2.7, the reimbursement of any redemption penalty that Mr and Mrs Taylor reasonably and properly incur with respect to their existing mortgage, Mr and Mrs Taylor must first provide clear documentary evidence of the redemption penalty said to have been incurred to include, in particular, evidence as to why their existing mortgage could not be ported to their new home and the basis upon which the penalty has been incurred.

4. **Further Updates to NHBC**

4.1 Simultaneously with signing this Memorandum of Agreement Mr and Mrs Taylor and Crest Nicholson will sign and submit a letter to the NHBC to confirm that:

4.1.1 terms have been agreed (subject to contract) for the purchase of the Property with vacant possession and subject to the defects by Crest Nicholson in full and final settlement; and

4.1.2 to request that no further action with respect to the NHBC Resolution should be progressed pending completion of that purchase.

4.2 Simultaneously upon exchange of contracts Mr and Mrs Taylor and Crest Nicholson will sign and submit a further update in writing to the NHBC to confirm that this has occurred.

4.3 Immediately prior to completion Mr and Mrs Taylor's solicitors will procure confirmation from NHBC to Crest Nicholson that no payments have been made to Mr and Mrs Taylor with respect to their NHBC claim and/or the NHBC Resolution and that the claim will be closed.

4.4 The updates to the NHBC set out in paragraphs 4.1 and 4.2 to be a condition for the exchange of contracts for the purchase by Crest Nicholson of the Property. If any payments have been made to Mr and Mrs Taylor by the NHBC with respect to their claim

and/or the NHBC Resolution, then a sum equal to the total of the amounts so paid will be deducted from the Price.

5. **Timing**

5.1 The intention of the parties to this Memorandum of Understanding is that contracts for the purchase by Crest Nicholson of the Property will be exchanged simultaneously with contracts being exchanged by Mr and Mrs Taylor for the purchase of the new home into which they and their family will move.

5.2 The contract for the purchase of the Property (or if appropriate a separate contractual agreement to be entered into simultaneously between the parties) will formally record the operative terms contained in this Memorandum of Agreement and that Mr and Mrs Taylor will not pursue any further claim against Crest Nicholson whether through the NHBC or otherwise.

6. **Costs**

6.1 Save as provided in paragraph 2.2 above Mr and Mrs Taylor and Crest Nicholson will each bear all of their legal or other costs and expenses with respect to this matter.

7. **Full and Final Settlement**

7.1 The terms agreed by Crest Nicholson (subject to contract) for the buyback of the Property are without admission of any liability on Crest Nicholson's part but are intended to reach a clean break between Crest Nicholson and Mr and Mrs Taylor and their family.

7.2 Completion of the purchase of the Property by Crest Nicholson on this basis will be in full and final settlement of all claims (of whatever kind) that Mr and Mrs Taylor and their family have or claim to have against Crest Nicholson with respect to or in connection with the Property.

8. **Confidentiality**

8.1 Mr and Mrs Taylor confirm and agree that they shall not disclose terms of this Memorandum of Agreement, nor the substance of all negotiations in connection with it, or otherwise communicate them, to any third party (without the written consent of Crest Nicholson, such consent not to be unreasonably withheld) other than to their professional advisors on terms which preserve confidentiality or to the extent as may be required by law.

Signed by..Winchworth Sherwood LLP.....

~~Name.....~~

~~Duly authorised signatory~~ for and on behalf of Crest Nicholson Operations Limited

Signed by.....

Mr Paul Robert Taylor

Signed by.....

Mrs Jade Taylor